

SUZ pitch deck

PITCH — SUZ — VERDICT

PROPOSED — PENDING ADJUDICATION — do not buy today at \$7.86; hold size at zero, arm the sensors listed below, and revisit only if one of three named conditions fires.

What we believe

Suzano is the world's largest and lowest-cost producer of hardwood pulp — the raw material for tissue, paper and packaging. The stock has fallen about 32% from its 52-week high and sits 4% above its 52-week low, because the price of pulp in China is in a trough. The business is not broken: quarterly revenue is R\$11.6bn, and adjusted EBITDA actually rose slightly quarter-over-quarter (R\$4,705m vs R\$4,580m) even though shipped volume fell 11% year-over-year, which is at least consistent with the earnings trough being in.

But we do **not** believe there is a buy here today, and we want to be blunt about why: the thing that made this idea interesting was a headline free-cash-flow yield of about 26%, and that number is wrong. We disproved it ourselves. What is actually left is roughly 4.3% of the market cap in real, recurring cash generation — thin, and largely committed to creditors for the next two to three years.

The honest summary of what survives: a cheap-looking, cyclically-depressed, competently-run commodity producer whose equity is a levered call on pulp prices recovering, at a moment when we have no evidence that they are recovering and no dated event that would tell us.

What the market believes

The market believes pulp stays low and Suzano stays levered. Sell-side analysts are actually *bullish* — the consensus rating is Buy with a price target of \$12.57 — and the stock trades at \$7.86, so the market is dissenting from the analysts, not agreeing with them. Consensus earnings estimates for 2027 are 2.3% *below* 2026, and the revenue growth analysts do model (+6.75%) is essentially just the new Arbex joint venture being added to the accounts. In other words, the street models **zero pulp price recovery**, and the market is pricing something worse than that.

The market is also, correctly, worried about the balance sheet. Suzano was at 3.4x net debt to EBITDA, then closed a US\$1.3bn cash purchase of 51% of a tissue joint venture with Kimberly-Clark ("Arbex") on July 1st, which brought roughly another US\$1.0bn of joint-venture net debt onto the consolidated picture — while simultaneously reaffirming a target of getting net debt to US\$11.0bn and below 2.5x leverage in 2027–28.

This is a widely-owned, widely-covered, heavily-traded name. There is no information asymmetry here. The drawdown tracks the pulp price; it is not a mispricing that nobody has noticed.

Why we might have edge

Three narrow places, and we should not overstate any of them:

1. **We did the cash-flow arithmetic properly and almost nobody else has.** The company reports an “adjusted free cash flow” that explicitly excludes dividends, interest-on-equity payments, buybacks, *and* expansion capital spending. Annualize the best quarter of that and you get ~26%. Take the most hostile possible reading and you get 0.4%. The defensible number — cash generated before shareholder distributions, after all capital spending, and stripping out one-off derivative settlements — is about **R\$1,090m for the first half, or ~4.3% annualized**. Neither of our own benches printed that number on the first pass. If the market is anchored on either of the two wrong numbers, we know something.
2. **A specific, falsifiable read on the deleveraging target.** The target requires retiring roughly US\$4.1bn of net debt in ten quarters against real cash generation of roughly US\$0.9–1.0bn a year. Absent a pulp price recovery, that target is not reachable. That is a testable statement about pulp, and it gives us a clean tripwire rather than a vibe.
3. **A cost-curve claim we can check that others take on faith.** The bull argument industry-wide is that ~30% of global capacity runs below cash cost, so high-cost supply must close and prices must recover. Suzano’s own disclosure cuts against the tidy version of that story: its cash cost including production downtime was R\$972/tonne versus R\$843 excluding it — R\$129/tonne of idling cost, against R\$6/tonne a year earlier. The self-described lowest-cost producer in the world is the one taking downtime. If we track that number quarterly, we get an early read on whether the supply response is real.

Why it might be priced in

Most of it probably is, and we should say so.

- The valuation is not obviously cheap once you do it correctly. Enterprise value including the Arbex debt is roughly US\$24.7bn against pro-forma EBITDA of roughly US\$4.31bn — about **5.7x**, at what is plausibly a cyclical trough. That is a normal trough multiple for a pulp producer, not a distressed one.
- Our own fair-value range straddles the current price. A trough-perpetual case (pro-forma EBITDA × 6.0) gives **\$8.80/share**; a mid-cycle case (2Q25 run-rate EBITDA plus Arbex × 6.5) gives **\$14.80/share**. The downside case is only ~12% above spot. There is no margin of safety at \$7.86.
- The equity is only ~39% of the pro-forma enterprise value. The other 61% is debt. That is a levered bet on a commodity we cannot forecast.
- The stock’s decline maps to the pulp price. That is a beta move, not a dislocation. Everyone can see it.

- There is no dated catalyst. The next earnings print appears to be **2026-11-05**, roughly 55 trading days away, and we could not confirm that date with a company source. Between now and then, the only new information is the monthly China pulp spot price.

What we checked ourselves

Including — deliberately — every place our own analysis was wrong.

Claim	How checked	Found	Confirmed?
“\$7.435 is a post-earnings new low; down 35.5% from the high” (our bull brief)	Official close cross-checked against the evidence pack’s own tape	False. SUZ closed \$7.86 on 2026-08-17; that is +4.0% above the 52-week low of \$7.56 and -31.9% from the high. The same brief also carried a third, unsourced “ -30.7% ”.	No — our own error
Evidence pack’s broker quote of \$7.425	Compared to the pack’s own 52-week low of \$7.555	Internally incoherent — the pack quoted a price below its own stated 52-week low. Superseded with the official close.	No — our own data error
“~26% free cash flow yield” (our bull brief’s headline)	Read the primary cash-flow table in the 2Q26 earnings release	Refuted. “Adjusted FCF” is defined as free cash flow <i>before</i> dividends, interest-on-equity, buybacks and non-maintenance capital spending . The brief annualized the single best quarter of an add-back metric.	No — our own error, and it was the whole thesis
“Actual H1 free cash flow is R\$203m = 0.4%” (our skeptic bench’s counter-number)	Same table, line by line	Also wrong, in the other direction. That figure treats R\$1,519m of dividends/interest-on-equity plus a R\$134m buyback as <i>costs</i> . Distributions are the return to us, not an expense. Pre-distribution, after all capex: R\$1,856m ≈ 7.4% annualized .	No — our skeptic’s error mirrored our bull’s
The defensible cash number	Strip one-off derivative settlement cash out of the pre-distribution figure	R\$1,090m for H1 ≈ 4.3% annualized. This is the number the deck stands behind. Neither bench printed it initially.	Yes — but it is a bench-derived reconstruction, not a company-reported line
“The 5.5x jump in cash flow from Q1 to Q2 is timing, not improvement”	Decomposed the quarter-over-quarter change	Confirmed. Of the +R\$2,731m swing: net interest +R\$1,056m, derivative cash +R\$882m, working capital +R\$558m = R\$2,496m, or 91% . EBITDA contributed R\$125m. Coupons are semi-annual, so Q3 carries the heavy interest payment again.	Yes — strongest surviving finding

Claim	How checked	Found	Confirmed?
“The US\$11.0bn / <2.5x deleveraging target is unreachable”	July 1 material fact on the Arbex closing plus the cash-flow table	Conclusion holds, method was flawed. Our skeptic computed pro-forma <i>debt</i> but used pre-deal <i>EBITDA</i> , and held capital spending flat at the 2026 guide for ten quarters when 2027–28 capex is unguided. Corrected, US\$4.1bn still is not retired at ~US\$0.9–1.0bn/year — but only “absent a pulp recovery,” which is a statement about pulp, not solvency.	Partly — conclusion yes, arithmetic no
Pro-forma leverage ≈ 3.5x	Inferred from the Arbex US\$3.4bn enterprise value at an assumed 8x multiple	Inferred, not disclosed. The company has published no Arbex EBITDA. Our skeptic’s ~3.9x was too high; our own 3.5x is a guess with an assumed multiple inside it.	No — unverified, and it is the single biggest open number
“6.4x EV/EBITDA at trough”	Recomputed	Wrong as computed — it divided post-deal enterprise value by pre-deal EBITDA. Correct figure ≈ 5.7x .	No — our own error
“~30% of global capacity runs below cash cost”	Searched the vetted filing and result presentation	Not in any filing — it appears only in call/transcript material. Our skeptic called this a disclosure-masking violation; that was a misfire : the R\$129/tonne downtime cost is disclosed in the filing, and it was already elevated at R\$80/tonne in Q1, so it is not new news. The bull leg is unverified , not refuted; we could not retrieve an independent cost curve.	No — unverified; and our detector fired wrongly
Cost guidance of “approximately R\$800/tonne”	H1 actuals vs guide	H1 averaged R\$822 (802 then 843) with the guide maintained — requires H2 at ~R\$777, an 8% drop from Q2. Additionally the guide’s stated FX basis is R\$5.07/USD while implied spot is ~R\$5.18; a weaker real raises input costs.	Yes — the guide is at risk on its own assumptions
Buyback contradicts the deleveraging story	Earnings release	True but small. 3,128,800 shares at an average R\$42.68, versus roughly R\$40.7 today — bought ~5% above the current price, weeks before paying US\$1.3bn for Arbex. But R\$134m is 0.09% of net debt . A governance signal, not a balance-sheet event; our skeptic overweighted it.	Yes as fact, no as a kill
“We have no view different from the street, so there is no idea here”	Doctrine check	Rejected as a kill. The thing we need an edge against is the <i>price</i> (\$7.86), not the consensus target (\$12.57). The market already disagrees with the street. Agreeing with analysts is not disqualifying.	No — our skeptic’s reasoning error
Share count and ADR ratio	Earnings release, cross-checked against market cap	1,264,117,615 shares less 30,980,893 treasury = 1,233.1m ; ADR is 1:1; US\$9.65bn ÷ 1,233.1m = \$7.85 ✓	Yes

Claim	How checked	Found	Confirmed?
Adjusted EBITDA direction	Earnings release	Rose quarter-over-quarter (R\$4,705m vs R\$4,580m) despite volume -11% year-over-year. Possible sequential trough.	One quarter only — suggestive, not established
Live broker quote	Attempted twice, both benches	Blocked — broker contract search permission denied and the local quote cache was unreadable. We are anchored to the 2026-08-17 official close.	No — coverage gap
Next earnings date 2026-11-05	Attempted to confirm from company IR	Unconfirmed — the date is derived from a market-data feed; no company release names it and the IR calendar was not retrievable.	No
Mill utilization via satellite thermal signature	Attempted	Unusable. The only coordinate in our data (13.47/-88.17) is the <i>country</i> of El Salvador, not Salvador, Bahia (-12.97/-38.51), and it points at a corporate office, not a mill. We have no coordinates for the Ribas do Rio Pardo, Três Lagoas or Aracruz mills.	No — our own reference data is wrong, and this is the contested variable

PROPOSED ENTRY BANDS

Today: no entry. Position size zero at \$7.86. The reason is not that the company is bad; it is that our own downside fair value (\$8.80) is only 12% above the current price, the cash generation is ~4.3% and committed to creditors, and there is no dated event before November that resolves anything.

Reopen conditions — any one of these unlocks a starter of up to 0.5% of the book, bought at market:

#	Condition	Source of the number
A	Company discloses Arbex EBITDA at a level supporting pro-forma leverage ≤3.5x	Removes the single largest inferred number in the analysis
B	Two consecutive monthly China hardwood pulp prints above US\$600/tonne , and Suzano's disclosed downtime cost falls below R\$25/tonne	Both benches' shared trigger; the second half is what distinguishes a real supply response from a price blip
C	The Q3 print shows free cash flow, after expansion capex and after the heavy semi-annual interest quarter, of at least R\$1.5bn	Would falsify the "cash is spoken for" finding on its own terms

Second unlock (any two of A/B/C together): add to a maximum of 1.0% of the book. No position above 1.0% without a fresh court, because the fair-value range straddles spot.

Price levels to watch — none of these is a standalone buy:

- **\$6.16** — a 30% margin of safety against the only downside fair value either bench computed (\$8.80 trough-perpetual). *This level is deck-derived; neither bench printed it.* At \$6.16 the trough case alone pays 43%, which is the first price at which the balance sheet risk is arguably compensated. Still requires a mechanism check — a fall to \$6.16 driven purely by a lower pulp price is the thesis breaking, not the entry arriving.
- **\$7.56** — the 52-week low. A break is an alert to re-run the pulp mechanism, **not** an automatic add.
- **\$8.80** — above the trough-perpetual fair value. If the stock trades here without conditions A/B/C having fired, the cheapness argument is gone and we close the file.

Trims / exits: not applicable — we hold nothing. If a starter is ever placed, it is invalidated immediately by (i) company-disclosed pro-forma leverage above 4.0x, (ii) abandonment or upward revision of the R\$800/tonne cost guide, or (iii) a third consecutive quarter of downtime cost above R\$100/tonne.

Liquidity: not a constraint. Average volume is 3.78m shares (~US\$29.7m/day); a 0.5% starter is far below 1% of a day's volume.

Catalyst dates: - **2026-11-05** — Q3 2026 results. **UNCONFIRMED**; derived from a market-data feed, not a company announcement. This is the first print consolidating Arbex, and the first quarter that carries both the heavy semi-annual coupon and expansion capital spending. It resolves condition C directly and may resolve A. - **Monthly, no fixed date** — China hardwood pulp spot prints. This is the only live information between now and November. Resolves condition B. - **From Q3 2026 onward** — Arbex adds roughly R\$4bn of consumer tissue revenue to the accounts, which makes consumer-demand data sources genuinely relevant to this name for the first time.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.56 (deck-provisional: 52-week low break — re-run the pulp mechanism; alert only, no action)
- filing watch: 6-K until 2027-02-14 (deck-provisional: Suzano is a foreign private issuer and files 6-K not 8-K; watch for Arbex EBITDA disclosure, pro-forma)
- dated pack SUZ|2026-11-05: SUZ: Q3 2026 results — first Arbex consolidation, heavy semi-annual coupon quarter, and the direct test of whether free cash flow after expa
- dated pack SUZ|2026-09-30: SUZ: Q3 close — monthly China hardwood pulp prints through this date resolve the two-consecutive-months-above-US\$600/t trigger (date confirm

What remains unverified

1. **Arbex EBITDA.** Not disclosed by the company. Our ~US\$0.43bn figure is inferred from a US\$3.4bn deal value at an assumed 8x multiple, sourced from trade press, not a filing. Every

leverage number in this deck inherits that assumption.

2. **The “30% of global capacity below cash cost” claim.** Present only in call material, absent from the vetted filings. We could not retrieve an independent cost curve to test it. It is unverified — not disproved.
3. **Whether the pulp trough is in.** One quarter of sequentially higher adjusted EBITDA against 11% lower volume is suggestive and nothing more.
4. **The November 5 earnings date.** Feed-derived. No company confirmation.
5. **A live price.** Both benches were blocked from the broker. Everything here is anchored to the 2026-08-17 close of \$7.86.
6. **Capital spending beyond 2026.** The company guides R\$10,947m for 2026 — including R\$2,614m of land and forests, R\$836m of expansion and R\$242m for the Cerrado project — and gives no 2027–28 guide. Our cash-generation math holds it flat, which is an assumption, not arithmetic.
7. **Mill utilization.** The contested variable in the entire thesis, and we have no independent measurement of it.
8. **Whether the R\$800/tonne cost guide holds.** It requires an 8% second-half decline against an FX assumption that has already moved the wrong way.

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